Q.1 According to Capital asset pricing model, the overpriced stocks have:

A. Negative Beta

B. Negative Alpha

C. Positive Alpha

D. Zero Beta

Q.2 What will be NPV of a project if PV of cash inflows is Rs. 550,000 and initial investment is Rs. 600,000?

A. Rs. 550,000

B. Rs. 1,150,000

C. Rs. 50,000

D. Rs. 600,000

Q.3 Systematic risk is also known as:

A. Diversifiable Risk

B. Undiversifiable Risk

C. Avoidable Risk

D. Controllable Risk

Q.4 Which of the followings is/are the type(s) of capital budgeting technique?

A. Net Present Value

B. Payback Period

C. Internal Rate of Return

D. All of the given options

Q.5 The beta of the benchmark index or market portfolio is:

A. 0.00

B. 1.00

C. 0.50

D. -1.00

Q.6 Which of the followings is true with respect to straight line method of depreciation?

A. Depreciation expense decreases every year

B. Depreciation expense increases every year

C. None of the given options

D. Depreciation expense remains constant every year

Q.7 Lead time is defined as:

A. Length of time it takes to order inventory

B. Length of time between ordering and receiving inventory order

C. Time before production is assumed

D. Length of time before stock out

Q.8 Which of the following is/are types of inventory?

A. Raw material

B. Work in process

C. Finished goods

D. All of the given options

Q.9 Gross working capital can further be classified according to:

A. Time and rate of return

B. Time and components

C. Rate of return and financing method

D. Time and financing method

Q.10 All are the examples of non-cash items EXCEPT:

A. Bad debts

B. Depreciation

C. Amortization

D. Financial charges
